



Statement of Issues

5 December 2024

Orikan Group Pty Ltd - proposed acquisition of Duncan Technologies Pty Ltd

Purpose

1. Orikan Group Pty Ltd (**Orikan**) proposes to acquire all of the shares of Duncan Technologies Pty Ltd (**Duncan**) (together, the **Parties**) (the **Proposed Acquisition**).
2. This Statement of Issues:
 - gives the Australian Competition and Consumer Commission's (**ACCC**) preliminary views on competition issues arising from the Proposed Acquisition
 - identifies areas of further inquiry, and
 - invites interested parties to submit comments and information to assist our assessment of the issues.
3. Statements of Issues do not refer to confidential information provided by the parties or other market participants and therefore may not fully articulate the ACCC's preliminary position.

Overview of ACCC's preliminary views

4. In considering the Proposed Acquisition, the ACCC applies the legal test set out in section 50 of the *Competition and Consumer Act 2010* (the **CCA**). In general terms, section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
5. The ACCC divides its preliminary views into three categories: 'issues of concern', 'issues that may raise concerns' and 'issues unlikely to raise concerns'. In this Statement of Issues there are two 'issues of concern'.
6. The ACCC's preliminary view is that the Proposed Acquisition is likely to:
 - substantially lessen competition in the following on-street parking services in Australia, by removing Duncan as an effective competitor to Orikan in the supply of:

- end-to-end on-street parking solutions
- on-street parking meters, a key standalone on-street parking service, and
- enforcement and infringement systems, another key standalone on-street parking service, and
- substantially lessen competition in the supply of on-street parking apps, Automated Number Plate Recognition (**ANPR**) and parking sensors, through providing the merged entity with the ability and incentive to foreclose rival suppliers by preventing or frustrating integration of third-party products or services with the merged entity's central management systems (**CMS**).

Making a submission

7. The ACCC invites submissions from interested parties on the issues identified in this statement of issues.
8. Interested parties should provide submissions by **5pm on 19 December 2024**. Responses may be emailed to mergers@accc.gov.au with the title: Submission re: Orikan/Duncan. If you would like to discuss the matter with ACCC staff or have any questions about this Statement of Issues, please email mergers@accc.gov.au.
9. The ACCC anticipates making a final decision on **13 March 2025**, however, this timeline can change. To keep up with possible timing changes and to find relevant documents, interested parties should visit the Mergers Register on the ACCC's website at www.accc.gov.au/publicregisters/mergers-registers/public-informal-merger-reviews.

Confidentiality of submissions

10. The ACCC will not publish submissions regarding the Proposed Acquisition. The ACCC will not disclose submissions to third parties (except its advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, please identify any confidential information that is provided to the ACCC. The ACCC's [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

About ACCC 'Statements of Issues'

11. A Statement of Issues is not a final decision about a proposed acquisition. A Statement of Issues outlines the ACCC's preliminary views and identifies further lines of inquiry.
12. A Statement of Issues provides an opportunity for all interested parties (including purchasers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

Industry background

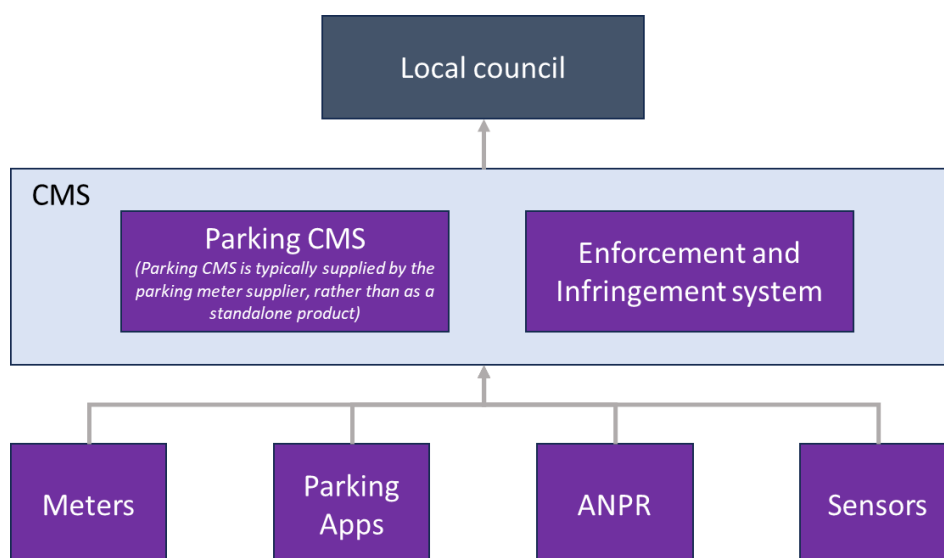
Off-street parking services

13. The ACCC's assessment to date has focussed on the impact of the acquisition on "on-street" parking services. The ACCC considers that Orikan and Duncan do not closely compete in off-street parking services, such as those offered in shopping centres and in multi-story buildings with gated entry and exit points). Market feedback also indicates that there are distinct differences in the type of customers serviced, for example differences between municipal councils compared to shopping malls and other commercial premises in terms of the services used and the competitive conditions.

On-street parking services

14. On-street parking services refers to a range of products and services used to manage on-street parking, including parking meters, parking meter maintenance services, payment services, enforcement and infringement systems, sensors, ANPR, parking apps and analytics.
15. On-street parking services can be supplied as an end-to-end parking solution or acquired as standalone services which the customer combines with other components to form an integrated parking solution.
16. Integration describes the process of enabling different standalone parking services to work with each other. Integration primarily involves ensuring that the data captured and recorded by standalone services can be accessed and read or processed by other services. For example, an integrated parking solution enables data from sensors and ANPR devices and payment data (including via physical parking meters or mobile phone payment applications) to be used for issuing infringement notices (including through automated technologies or handheld devices used by parking inspectors).
17. The CMS manages the data of an integrated parking solution related to parking (e.g. the location of the parking spot, the time the driver arrived and left), payments (fees paid through a meter or parking app) and infringements (e.g. instances where the driver overstayed or was parked illegally). The CMS therefore enables local councils' parking enforcement staff to access parking site information in real time and issue parking infringements.
18. Depending on customer requirements, the CMS is typically provided by the meter supplier alongside meter hardware (**Parking CMS**) and/or as part of the enforcement and infringement system. The CMS is the primary hub which can facilitate integration with third-party products to form an integrated parking solution (see Figure 1 below). Both Duncan and Orikan operate a CMS.

Figure 1 – The role of CMS in an integrated parking solution



Customers of on-street parking services

19. Orikan and Duncan primarily compete in the supply of on-street parking services.
20. The key customers of on-street parking services are local councils. Local councils typically acquire on-street parking services through competitive procurement processes, generally through open tenders. Across Australia, local councils differ greatly in terms of their area size, population density, visitation levels and urban landscape – all of which influence their demand for on-street parking services.
21. Some local councils prefer to acquire end-to-end on-street parking solutions through a single procurement process. In these cases, local councils may allow suppliers to respond to a request for tender with either a complete end-to-end solution or partial solution. Alternatively, local councils can issue separate tenders for individual standalone components and ask suppliers to demonstrate how they will integrate their services with those of local councils' other suppliers.
22. Market feedback suggests that on-street parking services generally fall into one of three main categories:
 - *on-street technology and equipment*, which includes parking meters, digital signage and guidance, parking sensors and ANPR technology
 - *enforcement and infringement systems*, comprising the digital products and systems used to issue infringement notices and manage parking enforcement. This category includes field devices used by parking inspectors, the software on those devices, permit management, analytics (performance and financial dashboards), parking ticket lifecycle management and back-office payment channels, and
 - *parking apps*, including pay-by-phone applications and digital permits.
23. Local councils consider a range of factors when evaluating responses to competitive procurement processes and awarding contracts. Key criteria include price, technology offered, product features, ability to integrate with other on-street parking services or IT

systems used by the local councils, the supplier's capability and reputation, and existing relationships between the local councils and the supplier.

Physical parking meters

24. Market feedback suggests the number of physical parking meters is likely to decline over time as consumers increasingly pay for parking using digital payment services.¹ Some local councils have already begun the process of rationalising the number of physical parking meters. Despite this, most market participants expect parking meters will remain an important feature of on-street parking services in the future since some consumers face barriers to pay digitally through a smartphone or similar device.

The Proposed Acquisition and the Parties

25. Orikan proposes to acquire 100% of issued capital of Duncan. Orikan and Duncan both supply end-to-end integrated on-street parking services in Australia. Their respective offering is summarised in **Table 1** below.

Table 1 – On-street parking services offered by both Orikan and Duncan

Parking solution	Orikan	Duncan
End-to-end	✓	✓
Parking meters (including parking CMS)	✓	✓
Enforcement and infringements (including CMS)	✓	✓
Apps	✓	(re-seller)
Sensors	✓	(re-seller)
Automated Number Plate Recognition (ANPR)	✓	(re-seller)

26. Market feedback is that Orikan and Duncan are the two largest suppliers of end-to-end on-street parking solutions in Australia, and they also compete closely in the supply of on-street parking meters and enforcement and infringement systems.

Other industry participants

27. Suppliers of end-to-end on-street parking solutions in Australia other than Orikan and Duncan include:
- Flowbird, an OEM supplier of Cale and Parkeon parking components, has an Australian presence, and historically has had two resellers in Australia (Australian Parking and Revenue Control (**APARC**), which supplies the 'Parkeon' brand, and Peritus Technology (**Peritus**), which supplies Flowbird's 'Cale' brand²)
 - Arthur D. Riley (**AD Riley**), a New Zealand based company with an Australian presence, and

¹ 'Digital payment solutions' includes applications on mobile devices, other emerging technologies such as 'virtual parking meters' (i.e. sign mounted public iPads which can facilitate card or phone payments), and radiofrequency identification (RFID) chips embedded in vehicles.

² Peritus also supplies parking meters from Blinkay Mobility to Horsham Shire Council.

- Smarter City Solutions, a supplier of end-to-end parking solutions and reseller of Orikan meters.
28. Suppliers of standalone services are present in enforcement and infringements (including AeroRanger, Billing Bureau, Schweers and Smart Parking), parking apps (including EasyPark and UbiPark), sensors (including Vehicle Management Systems (VMS)), and ANPR (including AeroRanger, Genetech and SenSen).
29. Suppliers of standalone services typically focus on trying to become 'best in breed' in their specific product. They compete with end-to-end integrated suppliers by forming arrangements with other suppliers that offer complementary parking solutions, or by integrating their products with the CMS and/or enforcement system chosen by a customer.

Market definition

Geographic dimension

30. The ACCC's preliminary view is that the appropriate geographic dimension for the markets is national.
31. While local councils require the on-street parking solutions to be delivered to, installed, and/or serviced within their local jurisdiction, suppliers from anywhere within Australia respond to (and win) local councils' tenders. While suppliers benefit from having a local presence in Australia, there appears to be no distinct advantage for suppliers being located within the same region or state as the customer or already having a contract in that region or state.

Product dimension

32. The ACCC has not formed a concluded view on the dimensions of the relevant product market(s).
33. The ACCC's preliminary view is that there are likely to be markets for:
- the supply of integrated, end-to-end on-street parking solutions, and
 - the supply of each product/service that is a component of an on-street parking solution, including (but not limited to)³:
 - parking meters
 - parking sensors
 - ANPR
 - enforcement and infringement systems, and
 - parking apps.

³ The ACCC is aware of other components of a parking solution could also comprise product markets, such as cameras, however these have not been included since they are not likely to be affected by the Proposed Acquisition.

34. The ACCC's preliminary view reflects both supply and demand considerations. On the demand side:
- The needs and procurement strategies of local councils differ depending on the requirements of the council. In some instances, due to prior capital investment and timing considerations, it may only be necessary or efficient for councils to tender for a specific component of a parking service. In other cases (for example when a council wishes to install an entirely new system) it may be materially more cost effective for council to tender for the full end-to-end package, and it is unlikely that modular tendering would provide a competitively priced alternative.
 - Different components of a parking solution perform different functions and are generally not interchangeable (i.e. parking sensors play a very different role from parking apps).
35. On the supply side, there is limited substitution between the supply of the various components of an on-street parking services from standalone suppliers, however there is a degree of one-way substitutability between end-to-end on-street parking solutions and the individual components:
- A standalone supplier of one parking service cannot easily switch to supplying another service, because the technology, expertise and inputs required to supply, install and service individual components of on-street parking solutions are very different.
 - A standalone supplier of one parking service cannot easily switch to supplying an end-to-end on-street parking solution, however they can partner with (or re-sell the parking services of) other standalone suppliers and bid for contracts with local governments as consortia.
 - An end-to-end supplier can (and typically would) supply individual standalone on-street parking services to meet the specific needs of a local council.
36. The ACCC invites submissions from interested parties on the matters identified in this statement of issues.

Questions for market participants

The ACCC invites comments from market participants to inform its views on the relevant market(s), including:

- the extent to which suppliers of on-street parking services focus on certain geographic areas
- the factors local councils consider when determining how to structure their tenders, such as whether to acquire end-to-end parking solutions or to integrate products/services from multiple suppliers
- the factors which suppliers of on-street parking services consider when deciding whether to contest procurement processes
- the extent to which suppliers of standalone on-street parking services can contest competitive procurement processes for the supply of end-to-end on-street parking solutions, such as by forming consortia to submit a joint bid

- the extent to which parking meters and parking apps are close substitutes, and
- the likely timeframe for rationalisation or removal of physical parking meters in favour of digital payment solutions in Australia or in particular geographic areas of Australia.

Issue of concern: substantial lessening of competition in the supply of on-street parking services in Australia

37. The ACCC's preliminary view is that the Proposed Acquisition is likely to have the effect of substantially lessening competition the supply of the following services in Australia, by removing Duncan as an effective competitor to Orikan in the supply of:
- end-to-end on-street parking solutions in Australia
 - on-street parking meters as a standalone on-street parking service, and
 - on-street enforcement and infringement systems as a standalone on-street parking service.
38. Market feedback is that Orikan and Duncan are the two largest suppliers of end-to-end on-street parking solutions in Australia. Orikan and Duncan regularly contest the same competitive procurement processes and are often among the shortlist of suppliers that local councils consider capable of delivering end-to-end on-street parking solutions.
39. Market feedback also suggests that Orikan and Duncan also compete closely in the supply of on-street parking meters and enforcement and infringement systems.
40. The ACCC is concerned that the Proposed Acquisition will remove the competitive constraint on Orikan by Duncan, which is likely to result in less competitive tender responses for customers in terms of price and service levels.
41. There are a small number of alternative providers of the relevant services, namely:
- suppliers of end-to-end on-street parking solutions, Flowbird (and its resellers), AD Riley and Smarter City, which also supply on-street parking meters and on-street enforcement and infringement systems, and
 - in the supply of standalone on-street enforcement and infringement systems, there are a number of smaller standalone suppliers such as AeroRanger, Billing Bureau, Schweers and Smart Parking.
42. Other suppliers are unlikely to provide a meaningful competitive constraint following the Proposed Acquisition.
43. Despite regularly contesting local councils' competitive procurement processes against Orikan and/or Duncan, none of these suppliers have secured significant shares of the addressable markets relative to Orikan and Duncan. Several of these suppliers are present in only one or very few contracts. Accordingly, they are unlikely to present a strong constraint on the merged entity following the proposed acquisition.

Barriers to entry and expansion

44. The ACCC considers that there are significant barriers to entry and expansion in end-to-end on-street parking solutions, standalone on-street parking meters and/or on-street enforcement and infringement systems.
45. Barriers specific to the supply of end-to-end on-street parking solutions include the costs associated with a supplier establishing or expanding their product range. New entrants, or suppliers of standalone on-street parking services, may partner with or acquire other standalone suppliers to complement their product range. In this scenario, the ability to offer a CMS, via on-street parking meters or enforcement and infringement system would be a critical element of their offering.
46. A new entrant into the supply of end-to-end on-street parking solutions, standalone supply of on-street parking meters and/or supply of on-street enforcement and infringement systems faces a number of costs and/or barriers including:
 - the time and resources involved in contesting competitive procurement processes, which are bespoke to each local council and require a significant volume of information to be presented to address mandatory and evaluative criteria
 - the established reputation and track record of delivery by a small number of existing providers may dissuade new entrants. Reputation is a factor considered by local councils in procurement processes. Market feedback is that local councils typically request Australian customer references and evidence of successful delivery as part of competitive procurement processes with reference to specific products. Overseas references are of limited relevance and persuasion. Market feedback is that winning a 'reference contract' in Australia and delivering it successfully over a period of time is one method of for a supplier to enhance their ability to win future opportunities, but implementing this strategy can require many years and significant cost and may not be possible for many suppliers
 - the phase out of physical parking meters, which remain an important component of end-to-end on-street parking solutions, is likely to limit the attractiveness of entry into end-to-end on-street parking solutions and standalone on-street parking meters. Suppliers generally incur considerable sunk costs if they wish to add on-street parking meters to their product range. However, market feedback suggests that suppliers are unlikely to have sufficient tendering cycles remaining to recoup investment to incentivise new entry
 - advantages associated with scale, such as enabling suppliers to spread product research, development, and maintenance costs across a larger customer base. There are considerable sunk costs associated with developing such technology, which is a barrier to entry, and
 - advantages associated with being the incumbent supplier of on-street parking services to a local council, particularly end-to-end parking solutions. Local councils face considerable costs and delivery risks associated with switching suppliers. The risk of service disruption can have a significant impact because parking fees are an important source of revenue for some local councils. Local councils have an incentive to form long-term relationships with suppliers of on-street parking services. Local councils therefore tend to only contemplate switching where there are compelling reasons which outweigh these costs and risks.

47. Given these factors, the ACCC considers that post acquisition, the merged firm is unlikely to be constrained by the threat of timely entry or expansion into end-to-end solutions, on-street parking meters and on-street enforcement and infringement systems.

Customer countervailing power

48. The ACCC also considers that customers of on-street parking services have limited countervailing power:
- contracts for on-street parking services are relatively small, and local councils are unlikely to have the ability or resources to develop their own parking services, or to sponsor new entrants to develop bespoke on-street parking solutions
 - local councils are accountable to their constituents in terms of their administration of public funds. Local councils are required by law to conduct competitive procurement processes, except in limited circumstances. Directly approaching suppliers may result in additional probity risks, and
 - through tender evaluation criteria and weightings applied to these criteria, local councils have expressed a strong preference for suppliers with reputation and demonstrated capability in delivering on-street parking services in Australia. New entrants are unlikely to rate higher than incumbents in these factors.
49. The ACCC is aware of some local councils that have assembled their own integrated solution from third party suppliers. However, feedback suggests that this option may have increased delivery risks and added additional implementation costs for local councils. The possibility of “self-supply” by local councils therefore appears unlikely to provide a meaningful competitive constraint.

Questions for market participants

The ACCC invites comments from market participants regarding competition in the supply of end-to-end on-street parking solutions, on-street parking meters and on-street enforcement and infringement systems in Australia. Market participants may wish to comment on the following:

- how closely Orikan and Duncan compete
- the degree of competitive constraint provided by existing and upcoming providers of on-street parking end-to end solutions and standalone services (in your response please identify who these alternative suppliers are)
- the height of barriers to timely entry and expansion of on-street parking service providers, including incumbency advantage and reputational risk
- the advantage that end-to-end providers have over ‘best in-breed’ consortia when tendering for on-street parking services
- the advantage that incumbent providers have over non-incumbent competitors when tendering for on-street parking services, and
- the attractiveness of the Australian market for overseas on-street parking providers (including the extent to which they compete now, the likelihood they will compete in future and the names of the overseas providers likely to consider entry to the Australian market).

Issue of concern: foreclosure of standalone on-street parking service suppliers

50. The ACCC's preliminary view is that the Proposed Acquisition is likely to substantially lessen competition in the supply of on-street parking apps, ANPR and parking sensors, through providing the merged entity with the ability and incentive to foreclose rival suppliers by preventing or frustrating integration of third-party products with the merged entity's CMS (such as through charging high integration fees or delays).

Ability to foreclose

51. Duncan (through its parking CMS 'PEMS' and infringement system 'AutoIssue') and Orikan (through its parking CMS 'Ezicom' and infringement system 'PinForce') are currently incumbent CMS providers for a large proportion of Australian local councils that together represent a significant share of the addressable market for on-street parking services. By bringing together the two largest providers of CMS in Australia, the merged entity would operate the primary on-street parking hub for a large share of local councils through which competing standalone suppliers would need to ensure their products operate.
52. Market feedback is that integration is not a particularly costly or technically complex process, relative to the size of on-street parking services projects. Suppliers of on-street parking services have the technical capability and means to enable integration, enabling suppliers of standalone on-street parking services to currently form consortia enabling customers who prefer an end-to-end on-street parking solution to choose a 'best in breed' solution.
53. Integration relies on co-operation between different suppliers of on-street parking services to implement changes to make their products compatible, access data held in proprietary systems and to perform testing.
- Where integration is in both suppliers' interests, such as enhancing each supplier's ability to contest and win competitive procurement processes, market participants report that integration is generally completed relatively quickly and inexpensively.
 - Where integration is not in the interests of one of the suppliers, market participants report that the supplier can frustrate the integration process through time delays and/or by quoting large fees to the local councils.
54. Local councils appear to be able to somewhat mitigate against integration risks by including interoperability requirements in contracts with suppliers. These requirements may give rise to penalties if breached by suppliers and not remedied in a timely fashion. However, these contractual requirements may not always effectively ensure timely integration with third parties, for reasons including that:
- local councils may find it difficult to establish a breach of these requirements where a supplier adopts subtle practices to frustrate integration, for example, attributing delays to technical issues. Similarly, it may be difficult for a council to determine which of the two suppliers is at fault for non-integration
 - local councils may be averse to entering into potentially costly or resource-intensive legal disputes with suppliers, particularly given the challenges with establishing a breach outlined above, and

- suppliers are typically given the chance to rectify integration issues before facing penalties, meaning they can still delay or frustrate integration in the first instance and then take steps to avoid penalty if issues are ultimately raised by the council.

Incentive to foreclose

55. The ACCC is concerned that the merged entity would have the incentive to prevent or frustrate integration with its CMS (PEMS and AutoIssue and EziCom and PinForce), since it could discourage local councils from adopting a 'best in breed' approach and instead procure the full suite of products (i.e. apps, sensors and ANPR) from the merged entity.
56. Market feedback is that some local councils have observed integration challenges elsewhere and factor such challenges into their assessment of whether to procure an end-to-end solution or adopt a 'best in breed' approach.
57. Orikan currently offers an end-to-end solution, and therefore it could be argued that it may currently have an incentive to prevent or frustrate integration with its CMS absent the proposed acquisition. However, Duncan currently partners with third-party suppliers of parking apps, sensors and ANPR, and clearly has an incentive to integrate its CMS with them.
58. Through the Proposed Acquisition, the merged entity would likely have a greater incentive to frustrate integration than Orikan or Duncan (absent the proposed acquisition).
 - While Orikan currently offers an end-to-end solution (and therefore may already have an incentive to prevent or frustrate integration with its CMS absent the Proposed Acquisition), the merged entity would be the incumbent CMS supplier for a larger share of the addressable market than Orikan and is likely to have an increased incentive to foreclose on suppliers of standalone services currently used by Duncan. The removal of Orikan's main end-to-end on-street parking competitor (Duncan) would also potentially reduce the threat of retaliation from local councils.
 - Unlike Duncan, the merged entity would offer an end-to-end on-street parking solution including apps, sensors and ANPR.

Effects of foreclosure

59. If the merged firm were to adopt a foreclosure strategy, suppliers of standalone on-street parking services may be prevented from supplying a large share of the addressable market, which could potentially cause them to exit. The foreclosure strategy could also deter new suppliers from entering. A reduction in the number of providers of parking apps, sensors or ANPR in Australia, would likely result in less competitive tender responses for local councils in terms of price and/or service levels. The ACCC is also concerned that the reduced competition and, in particular, the reduced incentives to develop 'best in breed' products due to potential integration concerns is likely to lead to less innovation.
60. In relation to parking apps, the ACCC is concerned that the Proposed Acquisition could affect the transition away from hardware driven solutions (i.e. meters) to application-based solutions. The transition to application-based solutions has the potential to reduce barriers to entry over time. Integration of apps into other on-street parking

services allows parking app suppliers to compete for customers based on the functionality of the app and associated user fees. However, the ACCC considers that competition for customers is unlikely to materialise where the merged firm has the ability and incentive to frustrate the integration of other parking service providers with its own parking solution suite.

Questions for market participants

The ACCC invites comments from market participants regarding:

- the time and resources required to set up an existing integration for a new customer
- the extent to which parking service suppliers could prevent, restrict, or frustrate rival parking service providers from integrating with their CMS, and
- the degree to which customers have the countervailing power to enforce contract terms of integrations and the extent to which this power differs between larger and smaller local councils.

ACCC's future steps

61. As noted above, the ACCC invites submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter. Submissions should be emailed to mergers@accc.gov.au by no later than **5pm on 19 December 2024**.
62. The ACCC will finalise its view on this matter after it considers submissions invited by this Statement of Issues.
63. The ACCC intends to publicly announce its final view by **13 March 2025**. However the anticipated timeline may change in line with the [Informal Merger Review Process Guidelines](#). A Public Competition Assessment explaining the ACCC's final view may be published following the ACCC's public announcement.